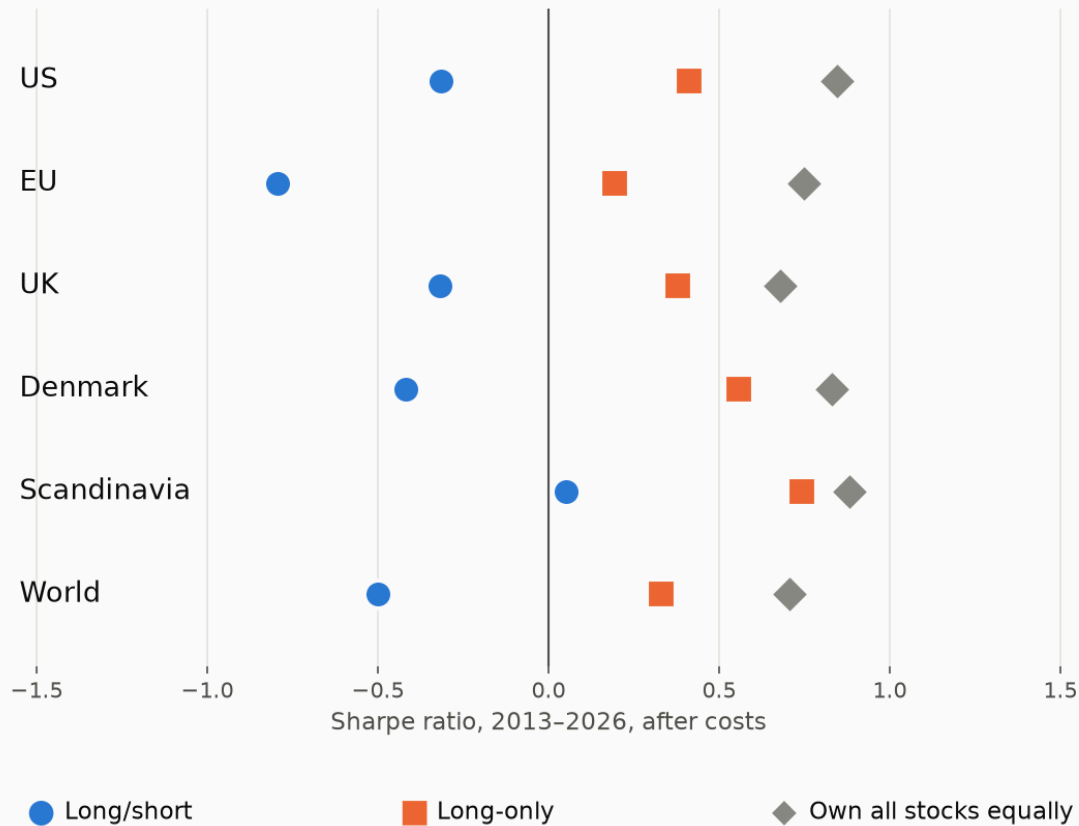


Short-term reversal

Buy last month's losers, sell last month's winners



Long/short positive in 1 of six markets; long-only beat owning all stocks in none of them

Henrik Gjernerig · Project 10 · point-in-time universes, local currency (World in USD)

Henrik Gjernerig · LinkedIn

Stocks with the worst returns last month outperform those with the best returns next month. Jegadeesh (1990) and Lehmann (1990) documented it for US stocks; it is large before costs and famously expensive to trade.

I tested it on six markets, 2013–2026: US, Europe, UK, Denmark, Scandinavia and the world. Point-in-time index members, after costs.

Long/short (last month's losers minus last month's winners): -12.4% to +0.7% a year, positive in 1 of six markets. Adjusted for market beta: -15.7% to -0.7%.

Long-only (last month's losers): a better Sharpe than owning all the stocks equally in none of the six markets.

The pre-declared fixes (beta-neutral legs, a turnover buffer, volatility targeting) took the 2020–26 holdout Sharpe from -0.87 to -0.98.

360° view: it keeps some information beyond its nearest neighbours.

Full factsheet with P&L, trade records, drawdowns, factor attribution, fixes, classification and the 360° view: <https://hgjernerling.github.io/now-showing/factsheets/fs08-short-term-reversal>

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